



THE CHARTERED INSURANCE INSTITUTE

ADVANCED DIPLOMA

OCTOBER 2007 EXAMINATION PAPER

**UNIT 556
LIFE AND DISABILITY CLAIMS**

INSTRUCTIONS

- Three hours are allowed for this paper.
- Fill in the information requested on the answer booklet and on form B.
- You are allowed to write on the inside pages of this question paper but you must **NOT** write your name, candidate number, PIN or any other identification anywhere on this question paper.
- The answer booklet and this question paper must be handed in personally by you to the invigilator before you leave the examination. Failure to do this may result in your paper not being marked and you may be prevented from entering this examination in future.

READ THE INSTRUCTIONS OVERLEAF CAREFULLY BEFORE ANSWERING ANY QUESTIONS.

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556 – Life and disability claims

CANDIDATE INSTRUCTIONS

READ THE INSTRUCTIONS BELOW BEFORE ANSWERING ANY QUESTIONS

Three hours are allowed for this paper. You should answer all questions in Part I, the compulsory question in Part II and three out of the five questions in Part III.

The paper carries a total of 200 marks, as follows:

Part I	8 compulsory questions	48 marks
Part II	1 compulsory question	50 marks
Part III	3 questions selected from 5	102 marks

You are advised to spend no more than 45 minutes on Part I.

Where a question is split into parts (a), (b) etc, marks for each part are only shown if they are split unevenly between the parts and you should spend your time in accordance with the allocation.

Answer each question on a new page. If a question has more than one part, leave several lines blank after each part.

It is important to show each step in any calculation, even if you have used a calculator.

You may find it helpful in some places to make rough notes in the answer booklet. If you do this, you should cross through these notes before you hand in the booklet.

PART I

**Answer ALL questions in Part I.
Each question is worth six marks.**

Note form is acceptable where this conveys all the necessary information.

1. What is hospital cash benefit? Briefly explain the relevant policy conditions and limitations that apply to it.
2. Where an underwriter is unable to accept a proposal at ordinary rates, what other options are available?
3. In what circumstances might an insurer be entitled to rely on the 'failure to follow medical advice' exclusion and when may they choose not to do so?
4. ^{-cancer} What is the Duke's classification? Briefly explain how it is applied.
5. How might an insurer respond when it uncovers non-disclosure of smoking status during the investigation of a claim?
6. What requirements must be met to satisfy the latest Association of British Insurers' critical illness definition of 'deafness'?

7. (a) What is a benefit in kind? Give three examples. (5 marks)
- (b) What document should an insurer request to establish the level of an individual's benefit? (1 mark)
8. (a) Briefly define 'permanent neurological deficit with persisting clinical symptoms' as stated in the generic terms of the latest ABI Statement of Best Practice for Critical Illness. (2 marks)
- (b) Give three examples of symptoms that are covered and one example of a finding that is excluded. (4 marks)

FOR USE WITH QUESTION 9 ONLY

EXTRACT FROM THE PROPOSAL FORM

GOOD LIFE INSURANCE COMPANY PROPOSAL FORM Level Term Assurance (Life cover only)		
Questions	Life 1	Life 2
Name:	Andrew Tomlinson	Susan Downes
Relationship to Life 1:		Common law wife
Dependants:	Two children	Two children
	Ben – aged 10	Ben – aged 10
	Jane – aged 7	Jane – aged 7
Address:	18 Fareview Close	18 Fareview Close
	Waterlooville	Waterlooville
	Hants	Hants
	SO12 8JP	SO12 8JP
Date of birth:	12 January 1963	18 March 1963
How many units of alcohol do you drink in a week?	35	15
Have you ever drunk more than this, OR, been advised to reduce your alcohol consumption?	No	No
Have you smoked tobacco in the last 12 months?	No	No
What is your occupation?	Architect	Housewife
Do you engage in any <u>hazardous activities</u> or pastimes – such as any form of motor racing, private aviation, diving or competitive horse riding?	No	No
Level of cover required:	£750,000	
Policy term required:	15 years	
Date proposal completed:	15 December 2005	

FOR USE WITH QUESTION 9 ONLY

EXTRACT FROM THE HAMPSHIRE CONSTABULARY POLICE REPORT

Fatal accident on 1 September 2007 involving an Audi TT motor car (LN53 UNH) at the Candalmass junction of the B234. The driver of the vehicle was Mr Andrew Tomlinson and the passenger was Ms Susan Downes. Both were pronounced dead at the scene by the attending paramedics. Both driver and passenger had been thrown from the vehicle as neither had been wearing a seat belt.

Witnesses reported that the Audi was travelling at excessive speed, having overtaken a number of cars on the same road approaching the junction. The drivers of the overtaken cars have indicated that the Audi is likely to have been travelling in excess of 100mph and this has subsequently been confirmed by Traffic Division's investigation.

Subsequent blood alcohol tests indicated that the driver, Mr Tomlinson, had a level of 170mg/100ml, twice the legal blood alcohol limit for driving. Ms Downes' level was 75mg/100ml.

PC John Smith
10 September 2007

PART III

Answer **THREE** of the following **FIVE** questions.
Each question is worth 34 marks.

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10. Explain in detail how the Association of British Insurers has defined and changed its model critical illness wording for cancer since 1999, and how this has affected the cover provided. (34)
11. Explain the implications for assessing group income protection insurance claims where:
- (a) the insured company switches their insurance to another insurer; (16 marks)
 - (b) the insured company ceases trading; (7 marks)
 - (c) an employee on claim of the insured company leaves their service. (11 marks)
12. What guidance does the Health Claims Forum document on Dispute Avoidance and Resolution give to assessors in respect of communicating the decision to decline a claim?
13. (a) Explain the types of total and permanent disability definitions that are used by insurers and what criteria need to be satisfied to fulfil them. (22 marks)
- (b) How should such claims be managed? (12 marks)
14. When considering an income protection claim, discuss the implications of a diagnosis of depression in terms of symptoms, functional limitation and treatment. (34)